In late 2014, during Xi Jinping's first official visit to India, China declared plans to invest $20 billion USD in India over the years 2015–20, providing funds for, among other things, industrial parks and manufacturing cities in Gujarat, Haryana, and Maharashtra, as well as major infrastructure projects in western and southern India. China's investment – which will provide in five years almost 12 times as much as it invested in India in the 17 years between April 2000 and June 2017 – is expected to increase India's manufacturing capabilities and help India reduce its trade deficit with China.[10] At the time of Xi's visit, Modi stated that the investment would "open a new chapter" in the two countries' economic relations.[11]

The continued focus on attracting Chinese investments has produced other positive results. For instance, smartphone company Xiaomi is developing five manufacturing plants in India. In addition, private Chinese investment in Indian start-ups is on the increase, particularly within technology and e-commerce. In 2017 alone, 30 Indian start-ups received $5.2 billion in investments from Chinese companies such as Alibaba, Fosun, Baidu, and Tencent.[12] Between 2016 and 2018, Chinese investments in Indian technology start-ups rose significantly, from $668 million to $5.6 billion. Chinese venture capital invested in India is now greater than venture capital from countries such as Japan and the United States.[13]

At the 11th session of the India–China Joint Group on Economic Relations, Trade, Science and Technology in March 2018, a ministerial-level meeting, the two countries explored ways to enhance development of bilateral trade and investment cooperation, touching upon ways to reduce their trade imbalance and potentially start negotiations on a Free Trade Agreement (FTA).[14] Indian and Chinese representatives also participated in the fifth iteration of the